

Bronco Asset Management

Equity Research

PepsiCo



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Investment Summary

PepsiCo remains reasonably positioned to deliver steady growth. We expect revenue to grow in the low single digits, supported by all 6 of its segments. The company's recent acquisitions with Poppi and AQUA Carpatica can contribute to its long-term steady growth, while on the other hand, its short-term growth is gradual. Industry conditions remain stable with consumers prioritizing affordability and spending on healthier products. PepsiCo has adjusted to these new trends through its focus on ingredient innovations, introduction of new products like Naked Cheetos and Naked Doritos, and an emphasis on reducing prices in its North American food market. While upcoming catalysts, such as their aggressive growth plan strategy, may provide incremental support, setbacks from negative sales volume growth since 2023 will take time to overcome. With ongoing cost-cutting efforts focused on improving efficiency, PepsiCo expects a 1% expansion of core operating margin and EPS to increase by approximately 5% to 7% in fiscal year 2026. We believe much of their long-term potential is reflected in our valuation; as a result, we maintain a Hold rating.

Rating

Hold

Consumer Staples

Food, Beverage

Ticker

PEP

Current Price

\$157.01

12 Month Price Target

\$151

Upside/Downside

-3.85%

Market-Cap (mm)

\$207,362

Enterprise Value (mm)

\$240,761

52-week High

\$171.48

52-week Low

\$127.60

Price-to-Earnings

26.17

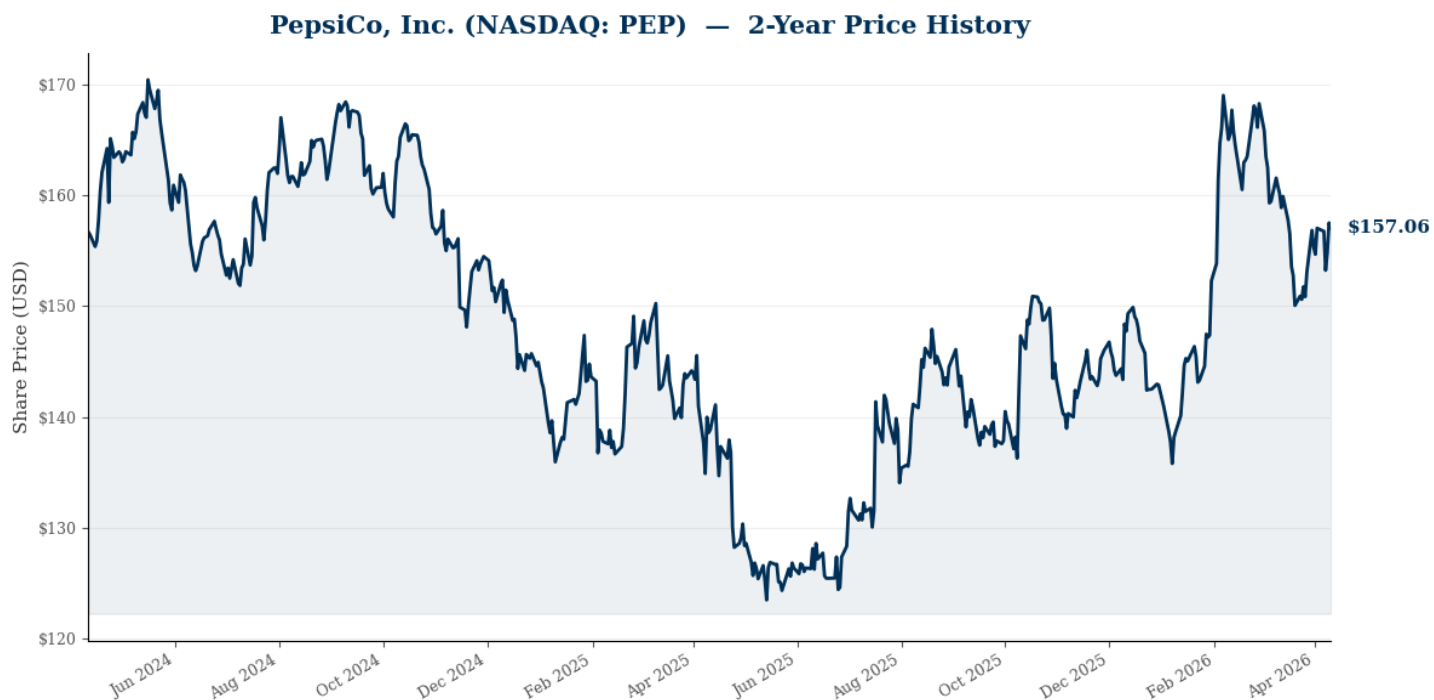
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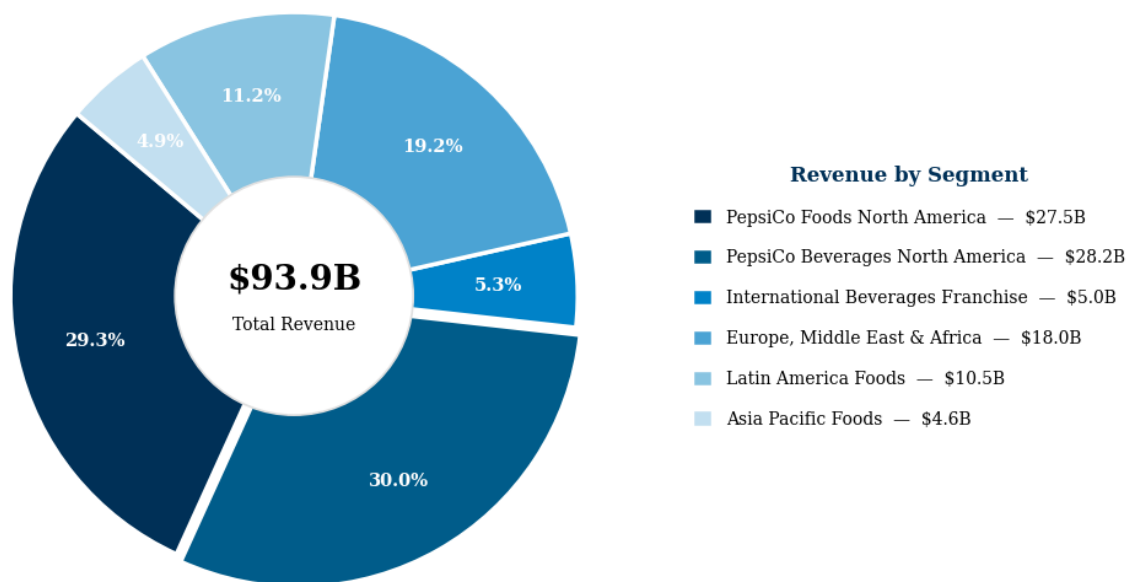
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Price Performance (TTM)



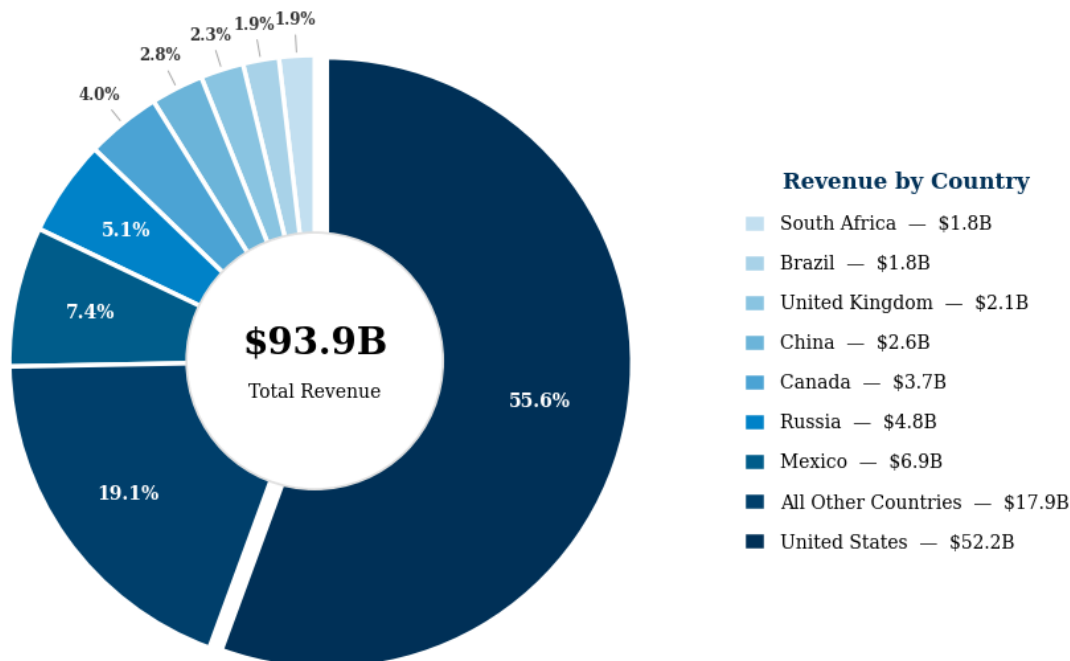
Business Overview

PepsiCo, Inc. — Revenue by Operating Segment



PepsiCo, Inc. is a global food and beverage company that is divided into several business segments. These include PepsiCo Foods North America (PFNA), PepsiCo Beverages North America (PBNA), Latin America Foods, Europe, Middle East & Africa (EMEA), Asia Pacific Foods, and International Beverages Franchise. These segments sell a variety of convenient foods and beverages to customers across over 200 countries. PepsiCo Foods North America (PFNA) is the company's second most profitable segment, contributing to approximately 30% of the company's revenue. PFNA manufactures a variety of snacks and cereals, such as Lay's, Doritos, and Quaker products. PepsiCo Beverages North America (PBNA) is PepsiCo's largest and most profitable business segment. PBNA manufactures and distributes a variety of beverages, including soda, sports drinks, and bottled water, into the markets of the United States and Canada, earning the company approximately 30% of its total revenue. The remainder of PepsiCo's business is divided into a variety of regional segments. The Latin America Foods, Europe, Middle East, and Africa (EMEA), and Asia Pacific Foods segments all sell convenient foods to customers in their respective regions of the world. In addition, the International Beverages Franchise also distributes beverages and PepsiCo's products into foreign markets through franchised bottling plants. These segments of PepsiCo earn the company approximately 40.6% of its revenues. PepsiCo's business strategy has evolved from focusing on acquiring other companies to focusing upon improving its operational efficiencies and product portfolios. Under its pep+ initiative, the company aims to drive steady, sustained growth through supply chain transformation, healthier product innovations, and digital investment such as AI and data analytics. PepsiCo's strategy emphasizes improving margins, reducing costs, and adapting to changing consumer preferences while maintaining steady global expansion.

PepsiCo, Inc. — Revenue by Country



The pie chart illustrates PepsiCo's geographic revenue distribution, emphasizing its strong reliance on the United States, which accounts for 55.6% of total revenue. International markets account for the remainder portion, with "All Other Countries" contributing 19.1%, followed by key individual markets such as Mexico (5.1%), Russia (4.0%), and Canada (2.8%). Smaller contributions come from China (2.3%), Brazil (1.9%), South Africa (1.9%), and the United Kingdom. This distribution highlights PepsiCo's global presence across more than 200 countries and territories, while still showing a significant concentration in its domestic market. The company operates through multiple international segments, including Latin America, EMEA, and Asia Pacific, allowing it to capture demand across diverse regions and consumer preferences. Overall, PepsiCo's geographic diversification supports revenue stability, but the heavy weighting toward the U.S. indicates that domestic performance remains the primary driver of overall financial results.

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Industry Overview

PepsiCo's Industry participation can be found mostly in the global packaged food and non-alcoholic beverage industry, especially in the convenience food and beverages segments. This industry facilitates companies whose main objectives are manufacturing, marketing, and distributing snack foods, carbonated soft drinks, bottled water, sports & energy drinks, juices, cereals, and other products that are fully ready-to-consume. Within this industry, the largest participants include multinational firms with global supply chains and strong distribution networks that reflect the extensive brand portfolios these companies carry with them. Global food and beverage is a relatively stable industry, also known as a defensive industry. Across economic cycles, demand remains stable, and as this industry enters the maturity stage of its life cycle, revenue is determined by product innovation, geographic expansion, and pricing power. Key drivers influencing the industry as of 2026 would include Consumer and health trends, macro-economic conditions, innovation, and portfolio expansion. A noticeable shift has taken place towards healthier and functional products like zero-sugar beverages and protein-based snacks with organic and natural ingredients. With macro-economic conditions like the tariffs being placed under the Trump Administration, input costs like packaging and ingredients have risen, affecting profit margins. With PepsiCo already controlling much of the industry, focus has changed to more research and development into new flavors, different packaging formats, and manufacturing efficiency.

Overall, the global beverage industry is expected to continually grow at a modest revenue pace through 2026, backed by mostly volume increases, after consumer pushback on pricing, and improvements in product mix, especially with non-alcoholic beverage companies. The industry as a whole is facing structural and cyclical issues, as ongoing inflation prices and a consumer demand shift towards a healthier lifestyle, which is forcing beverage companies like PepsiCo to invest in healthier alternatives to their products. Despite upfront costs, premium pricing, smaller portions, and strong differentiation, the new demographics help to drive revenue in that sector. Across the industry, corporations are limiting their capital expenditures, focusing on dividends and share buybacks, while also incorporating any recent acquisitions and turning away from potential new deals. Despite adversities, the global beverage industry remains financially stable, with resilient cash flow and exceptional balance sheet management supporting the long-term growth of the industry.

Global Beverages Industry

	Market Cap (\$B)	5-Year Rev. CAGR (%)	5-Yr EPS CAGR (%)	D/E	PEG	P/B	P/CF	P/E
Median	9.2	9.42%	10.72%	0.63	19.37	2.73	11.96	19.38
PEP	211.6	5.49%	7.64%	2.58	19.33	10.37	17.55	19.33

Analyzing PepsiCo compared to the broader beverage industry, PepsiCo can be seen operating at a significantly larger scale, with a market capitalization of approximately 211.6 billion compared to the industry median of 9.2 billion. While PepsiCo's earnings growth and revenue is moderate relative to its peers, this is more reflective of its maturity and dominance in the global beverage industry over anything else. As a company they maintain a higher point of leverage versus the industry median; demonstrating capital is being activated through dividends, share repurchases, and acquisitions. Regardless of its slower growth, PepsiCo's still trades at premium valuation multiples, the likes of Price-to-book, and Price-to-Cash Flow, demonstrating its strong brand equity, along with stable cash flows and confidence from investors as to long-term performance.

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Financial Analysis

Key Metrics	2021	2022	2023	2024	2025	2026E	2027E
Revenue (\$B)	79,474	86,392	91,471	91,854	93,925	95,635	97,426
Rev Growth (%)	12.93%	8.70%	5.88%	0.42%	2.25%	1.82%	1.87%
EPS	6.26	6.79	7.62	8.16	8.14	8.61	9.18
EPS Growth (%)	13.41%	8.47%	12.22%	7.09%	-0.25%	5.77%	6.62%
ROE (%)	51.65%	53.69%	50.90%	52.42%	42.86%	53.67%	50.10%
LTD/Equity	2.25	2.08	2.03	2.06	2.07	1.80	1.64
Y/E PE Ratio	27.12	26.61	22.3	18.69	17.98	18.22	17.08

PepsiCo's financial performance indicates a shift away from strong growth towards a more mature and price-driven business model. While revenue continues to increase between \$79.5B in 2021 to over \$100B in 2027E, growth in revenue has sharply declined from 12.9% in 2022 to near 0% in 2024 before slightly increasing again. Unit volumes within several segments of the company have been declining in strength or weakening, indicating that pricing is the main driving force behind PepsiCo's sales. Additionally, PepsiCo's profitability has declined as well. Both earnings per share and operating income have declined significantly over the past few years because of increasing costs, foreign exchange rates (especially in Latin America), and declining sales. Though PepsiCo's return on equity has remained high, both its leverage and share buybacks have contributed to the company's high return on equity. Its P/E ratio has also declined, suggesting investors expect a lower growth rate for PepsiCo's earnings over the long term. These trends are the result of PepsiCo's shift towards efficiency in its operations as well as shifts in the industry towards healthier products with lower sales and growth rates. Overall, PepsiCo is a stable company with strong cash flow, though its past choice of pricing over increasing units sold and the changes to its operational efficiencies support our hold rating for the stock.

Valuation

We arrived at our \$151 price target using a discounted cash flow (DCF) analysis, incorporating projected revenue growth of approximately 2%, gradual margin expansion, and stable free cash flow generation over the 5-year period. The model reflects the company's mature business profile, with modest top-line growth and consistent operating performance driven by pricing strategies and cost optimization initiatives. PepsiCo is well-positioned to sustain steady revenue growth by leveraging its diversified portfolio across beverages and convenient foods, while also capitalizing on industry trends such as premiumization, healthier product offerings, and expansion in U.S. market. However, unlike higher-growth competitors, PepsiCo's recent performance reflects slowing volume growth, with revenue growth being driven by pricing rather than demand increases. Looking forward, we project low single-digit revenue growth, supported by product innovation, operational efficiency improvements, and restructuring efforts such as SKU reductions and supply chain optimization. Margin expansion is expected to be gradual, as cost-cutting initiatives and automation efforts offset rising input costs and macroeconomic pressures. Going forward, PepsiCo is also incorporating share repurchases as a part of their core strategy to deliver value to investors. Overall, PepsiCo's valuation reflects a stable, cash-generative business with limited high-growth upside but strong defensive characteristics.

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Risk Assessment

PepsiCo faces several different types of risks, including risks related to the economy, consumer preferences for different products, geopolitical tensions, and supply chain issues. One of the risks related to the company's supply chain is that the rising costs of the company's materials, such as aluminum and various imported ingredients, as well as the tariffs applied to these materials, will increase the production and packaging costs of its products. The company has also experienced a slowdown in the growth of many of its different product segments, which leads to PepsiCo relying on pricing increases to encourage growth rather than experiencing growth in the number of products that are sold. Another risk factor for PepsiCo is that consumers are shifting towards products that contain healthier and lower amounts of sugar. PepsiCo's high level of financial leverage means that the company is exposed to economic downturns due to the increased financial strain that must be used to service its debt. Despite these risks, PepsiCo has risk mitigation initiatives in place to minimize the negative impacts of these risks. Overall, PepsiCo's size, product offerings, and brand recognition enable the company to handle the risks that it faces both domestically and internationally.

ESG

PepsiCo established the initiative PepsiCo Positive (pep+) in 2021, which is designed to drive end-to-end transformation focused on improving the sustainability of its operations. The Sustainability and Public Policy Committee and management's Sustainability Subcommittee oversee the execution of pep+, and review and track pep+ progress. PepsiCo Positive is composed of three pillars: Positive Agriculture, Positive Value Chain, and Positive Choices. Positive Agriculture is designed to address biodiversity loss, soil degradation, and unstable crop yields that farmers are facing. PepsiCo works to achieve this through supporting the advancement of the farming community, facilitating the adoption of regenerative agriculture, striving towards deforestation- and conversion-free sourcing for high-risk commodities, and sustainably sourcing key ingredients. Positive Value Chain is designed to address sustainability issues such as greenhouse gas emissions, sustainable packaging, and water scarcity. These issues are addressed by developing restorative and regenerative agriculture practices that reduce emissions, tackling sustainable packaging challenges through innovation, and becoming net water positive by 2030. Positive Choices focus on improving consumer health and nutrition and addressing food insecurity issues across the world. This pillar aims to address this issue by improving the nutritional profile of their existing portfolio and by expanding into new food categories that can be central to a healthy diet. PepsiCo is governed by its board of directors, who are tasked with emphasizing the interests of shareholders and stakeholders through maintaining high standards of integrity and ethical conduct. Guided by the Corporate Governance Guidelines and Global Code of Conduct, the board will execute PepsiCo's strategic objectives while managing risk through PepsiCo's risk management framework. PepsiCo Positive strives to create a better workplace through social priorities that emphasize employees, safety, inclusion, human rights, and product responsibility. To achieve this mission, PepsiCo has instituted The PepsiCo Way, which represents seven different employee behaviors which include act with integrity, be consumer centric, raise the bar on talent and diversity, act as owners, focus and get things done fast, voice opinions fearlessly, and celebrate success. PepsiCo recognizes progress with disclosures highlighting employee development, well-being, pay equity, health and safety, and nutritional goals.

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Appendix

Exhibit A.1

Discounted Cash Flow Model
Source: Bloomberg, BAM Estimates

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Valuation Date as of April 7, 2026

Discounted Cash Flow Method

(USD in Millions)

	Historical					Projected				
	2021	2022	2023	2024	2025	2026	2027	2028	2029	2030
Total Revenue	\$79,474	\$86,392	\$91,471	\$91,854	\$93,925	\$95,635	\$97,426	\$99,294	\$101,241	\$103,267
Cost Of Goods Sold	37,006	40,290	41,734	41,243	42,770	43,288	43,832	44,400	44,990	45,604
Gross Profit	42,468	46,102	49,737	50,611	51,155	52,347	53,594	54,895	56,251	57,663
Operating Expenses	31,054	33,777	35,862	35,913	36,243	36,845	37,476	38,137	38,827	39,547
Operating Income (EBIT)	11,414	12,325	13,875	14,698	14,912	15,502	16,117	16,757	17,423	18,116
EBITDA	14,124	15,088	16,823	17,858	18,363	19,041	19,673	20,332	21,017	21,731
Tax Expense						7,369	7,495	7,627	7,765	7,909
Earnings Before Interest After Tax						8,133	8,622	9,130	9,658	10,207
Depreciation and Amortization						3,539	3,556	3,575	3,594	3,614
Capital Expenditures						4,782	4,628	4,468	4,303	4,131
Increase (Decrease) in Working Capital						(537)	54	56	58	61
Free Cash Flow (FCF)						7,427	7,497	8,180	8,891	9,630
Present Value Factor						0.96	0.93	0.88	0.84	0.79
Present Value of FCF						7,134	7,007	7,238	7,447	7,636
Present Value of Projected FCF's						36,462				
Present Value of Terminal Value						214,590				
Total Enterprise Value						251,053				
Cash						9,159				
Debt						53,028				
Equity Value						207,184				
Diluted Shares						1,371				
Implied Price Per Share						\$151				
Metrics:										
Revenue Growth %	-	8.7%	5.9%	0.4%	2.3%	1.8%	1.9%	1.9%	2.0%	2.0%
Gross Profit Margin %	53.4%	53.4%	54.4%	55.1%	54.5%	54.7%	55.0%	55.3%	55.6%	55.8%
EBIT Margin %	14.4%	14.3%	15.2%	16.0%	15.9%	16.2%	16.5%	16.9%	17.2%	17.5%
EBITDA Margin %	17.8%	17.5%	18.4%	19.4%	19.6%	19.9%	20.2%	20.5%	20.8%	21.0%
D&A as % of Revenue	3.4%	3.2%	3.2%	3.4%	3.7%	3.7%	3.7%	3.6%	3.6%	3.5%
Capex as % of Revenue	2.2%	2.8%	6.3%	3.8%	5.9%	5.0%	4.8%	4.5%	4.3%	4.0%
Working Capital as % of Revenue	2.1%	3.1%	2.6%	3.0%	3.6%	3.0%	3.0%	3.0%	3.0%	3.0%